

A recurring deposit account makes it compulsory for you to save regularly at high rates of interest applicable to term deposits along with liquidity to access those savings any time.

Since a recurring deposit offers a fixed rate of return, it does not provide protection against inflation. But this kind of account is good for those who are not in the habit of regular savings and are just beginning on their journey to financial freedom.

There is great flexibility in the period of deposit with maturity ranging from 6 months to 120 months. The minimum monthly deposit varies from bank to bank. In most of the public sector banks, one can start a recurring deposit account with a monthly instalment as small as ₹100/-. There is no upper limit on investing. At the time of writing this book, the rate of interest for RDs varied between 7 and 9 percent depending on the maturity period. Loan/Overdraft and other facilities as in the case of Fixed Deposits are also available against recurring bank deposits.

The deposit for RD account is paid in monthly instalments and each subsequent monthly instalment has to be made before the end of the calendar month and is equal to the first deposit. In case of default in payment, a penalty may be levied. The penalty amounts may vary for different banks.

In the case of a recurring deposit being closed before completing the original term of the deposit, interest will be paid at the rate applicable on the date of deposit, for the period for which the deposit has remained with the bank. Premature withdrawal is also permissible but penalty may be levied.

Tax Deduction at Source (TDS) was not applicable on recurring deposits until the Financial Year 2014-15. But with Budget 2015, the same has been introduced, making Recurring Deposits at par with Fixed Deposits as far as TDS is concerned.

Having understood the most essential and liquid investing options (FDs and RDs), let us now look at a relatively more tax efficient investment option like Public Provident Fund (PPF).